of the bank should be changed on the model of that of the other commercial banks placing the overall policy and the general superintendence of the bank in the charge of a Chairman whose appointment would be subject to the approval of the central government.[14]

Rama Rau's memorandum was hotly debated by the RBI's Central Board as the 'majority of the board' supported *inter alia* the first alternative suggested in RBEC's report regarding appointments of chief executives of the bank with government approval. The Imperial Bank's Central Board, however, held an altogether different view. The members of the Board at its meeting on January 15, 1951, after lengthy deliberations and faced with the less desirable alternative of nationalization, threw their weight, though reluctantly, behind the second.[15]

By April 1951 steps were initiated by the RBI in consultation with the government to amend the Imperial Bank Act to provide machinery which would enable the government to have 'fuller information regarding the day-to-day working of the Bank' and thus make 'fuller use' of the powers already vested in the government.[16] The proposed legislative changes were eventually postponed probably because the government preferred to wait for a more propitious time to carry it through. Meanwhile, the Imperial Bank's role in promoting banking in rural areas had come under sharp focus. The role of the bank in relation to the needs of the planned development of the country also came under close scrutiny. Rama Rau thus felt that the time had arrived for considering the issue of nationalization or 'radical changes' in the bank's constitution from the point of view of 'planned development of the country'. It was necessary to 're-examine' the whole issue 'afresh' from the point of view of development of banking and credit facilities after the report of the All India Rural Credit Survey Committee (AIRCS) appointed in August 1951 to consider the lines on which credit facilities were to be extended in rural areas was published. While the debate on the recommendations of the RBEC was still being pursued, the government moved the RBI (Amendment) Bill in Parliament on November 21, 1950, in order to provide facilities for agricultural operations.[17]

THE RECOMMENDATIONS OF THE AIRCS AND THE GOVERNMENT ANNOUNCEMENT